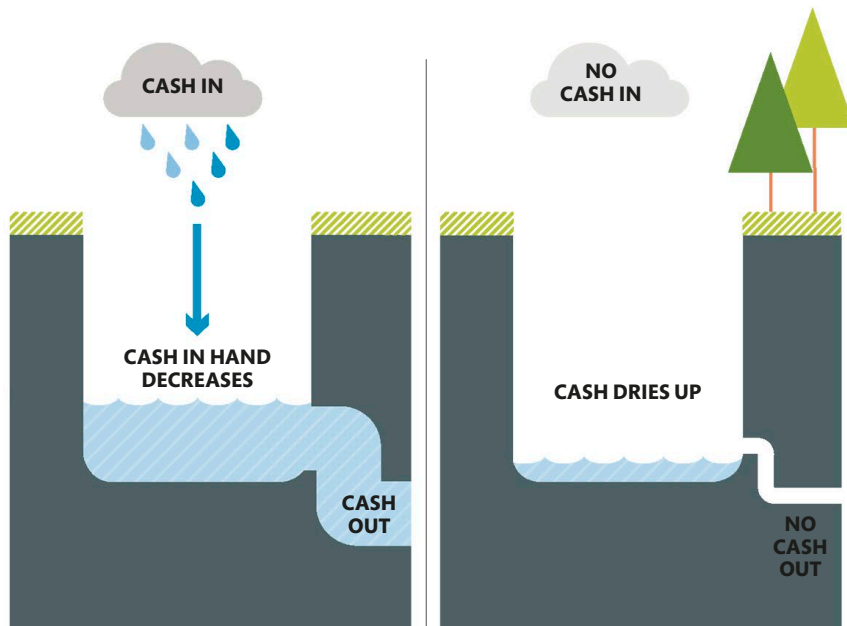




NEED TO KNOW

- › **Factor** A third party which, for a commission, collects payment from a business's customers.
- › **Accounts payable** Payments a business has to make to others.
- › **Accounts receivable** Payments a business is due to receive.
- › **Aging schedule** A table charting accounts payable and accounts receivable according to their dates.
- › **Cash flow gap** The interval between when payments are made and when they are received.
- › **Cash conversion** Successful businesses convert their product or service into cash inflows before their bills are due.
- › **Operating cash flow** Inflows and outflows relating to a company's day-to-day activity.
- › **Investing cash flow** Movement of money into and out of a company from investments in bonds, businesses, or stock markets.
- › **Financing cash flow** Payments due to or from debtors and creditors.

80%
of small business
start-ups fail due
to poor cash flow
management



Negative cash flow

Less cash is flowing into the business than is flowing out. Over time, the stock of cash will decrease and the business will face difficulties.

Bankruptcy

If cash flowing out continues to exceed cash flowing in, cash levels will drop so low that the business will become insolvent, having no cash to pay its bills.

HANDLING THE FLOW

A business with a cash surplus might:

- › Invest or move excess cash into an account where it will earn interest.
- › Upgrade equipment to improve production efficiency.
- › Take on new staff, develop products, or buy other companies to expand the business.
- › Pay creditors early or pay down debt before it is due to improve credit credentials.

A business with a cash shortage might:

- › Lower prices to increase sales, or raise them to increase profit.
- › Invoice promptly and chase outstanding payments.
- › Ask suppliers to extend credit.
- › Offer discounts in return for quicker payment.
- › Use an overdraft or short-term loan to pay off pressing expenses.
- › Continue to forecast cash flow and plan to avert future problems.